Lakeshore Bank BSA/AML Office

# Transaction Monitoring SOP: Cash Reporting and Structuring

| Field | Detail |
|---|---|
| SOP ID | AML-SOP-021, version 4.1 |
| Owner | BSA/AML Officer, Lakeshore Bank |
| Effective date | February 1, 2026 |
| Applies to | Branch operations, Financial Intelligence Unit (FIU), relationship managers |

## 1. Purpose

This SOP describes how the bank detects, investigates and reports large cash transactions and possible structuring in commercial deposit accounts. It supports the bank's obligations to file Currency Transaction Reports (CTRs) and Suspicious Activity Reports (SARs).

## 2. Currency Transaction Reports

A CTR is required when a customer's cash deposits or withdrawals exceed **$10,000** in a single business day, aggregated across all accounts and branches. Branch operations generate the CTR from the core system the same day; the FIU reviews and files it within 15 calendar days of the transaction.

## 3. Structuring red flags

Structuring is breaking cash activity into amounts below the CTR threshold to avoid a report. It is suspicious whether or not the underlying funds are legitimate. The monitoring system raises an alert when any of the following rules fire:

| Rule | Logic | Alert priority |
|---|---|---|
| S-01 Just-below-threshold deposits | 3 or more cash deposits between $9,000.00 and $9,999.99 into the same customer's accounts within 10 calendar days | High |
| S-02 Multi-branch cash | Cash deposits for one customer at 3 or more different branches within 10 calendar days, total over $10,000 | Medium |
| S-03 High-risk customer cash | Any cash deposit over $5,000 by a customer rated high AML risk | Medium |
| S-04 Rapid movement | Cash deposit followed within 3 days by an outgoing wire of 80% or more of the amount | High |

## 4. Investigation steps

1. Assign the alert to an FIU analyst within 2 business days; high-priority alerts within 1 business day.
2. Pull 90 days of account activity for all accounts of the customer and compare with the customer's expected activity profile from onboarding.
3. Contact the relationship manager for a business explanation (seasonality, cash-intensive industry). Do not alert the customer to the investigation.
4. Document the conclusion: close with rationale, or escalate for SAR decision.

## 5. SAR decision and filing

The BSA/AML Officer decides whether to file a SAR. A SAR must be filed within **30 calendar days** of initial detection of facts that may constitute a basis for filing. Where structuring is confirmed, the customer's AML risk rating is raised to high and the relationship is reviewed for exit.

## 6. Customer risk ratings

- Low: standard monitoring, annual KYC refresh every 3 years.
- Medium: standard monitoring, KYC refresh every 2 years.
- High: enhanced monitoring including rule S-03, KYC refresh annually, senior management approval to keep the relationship.

## 7. Metrics reported monthly

- Alerts generated and closed by rule
- Average days to disposition
- CTRs filed and filed late
- SARs filed and time from detection to filing